

Disco (6146)

1Q results: Headcount for factory production support unchanged; limited surprise in the numbers

Neutral: 1Q operating profit was ¥49.0 billion (-17% QoQ), broadly in line with market expectations (Bloomberg consensus estimate: ¥48.6 billion; our estimate: ¥49.0 billion). Shipment value was ¥135.9 billion (our estimate: ¥133.2 billion), up 12% QoQ. Versus the company's guidance, equipment shipments came in about ¥3 billion below due to timing slippage, but this was offset by strength in consumables and other items. 2Q shipment value guidance, a key focal point, is ¥141.0 billion (+4% QoQ), broadly in line with the market's pre-results expectations (we estimate that at around ¥140 billion; our estimate: ¥119.2 billion). While the quarter delivered limited surprises, Disco mentioned it will maintain the headquarters-to-factory production support program at around 100 staff for the time being, given continued strong demand.

- **1Q results overview:** 1Q operating profit was ¥49.0 billion (-17% QoQ, +42% YoY; Bloomberg consensus estimate: ¥48.6 billion), and shipment value was ¥135.9 billion (+12% QoQ, +22% YoY; ¥135.3 billion), both broadly in line with market expectations. By major product, shipment value for dicers rose 16% QoQ, grinders rose 15% QoQ, and precision processing tools increased 6% QoQ, resulting in an overall upside of roughly ¥3 billion versus our estimate. Versus our estimate, equipment shipments to non-memory customers were somewhat weaker, but this was offset by forex tailwinds (we assume around ¥2.5 billion) and upside in other items (maintenance and service). The company noted that a portion (about ¥3 billion) of advanced packaging-related R&D tools that had been expected to be booked in 1Q slipped into later quarters. The share of memory in total shipment value expanded further from 4Q FY2025 to 1Q FY2026, likely reflecting overlapping deliveries to multiple customers during the quarter.
- **2Q outlook:** Newly announced 2Q operating profit guidance is ¥55.9 billion (+14% QoQ, +26% YoY; Bloomberg consensus estimate: ¥62.2 billion; our estimate: ¥56.0 billion). Shipment value guidance, the key focus, is ¥141.0 billion (+4% QoQ, +46% YoY), broadly in line with the market's pre-results expectations (we estimate that at around ¥140 billion). The FX assumption is ¥159/US\$. QoQ, management expects (1) memory-related shipments to remain at a high level, broadly flat, and (2) logic shipments to stay strong, while (3) OSAT shipments, which were concentrated in 1Q, are expected to decline due to a pullback, mainly in China. The company also noted that shipments for optical semiconductors, while still small relative to generative AI-related demand, should gradually increase. Factory utilization remains high, and the headquarters-to-factory production support program (around 100 staff), in place since around December 2025, is expected to continue for the time being (it was previously expected to run through around July–September).

Neutral

6146.T, 6146.JP

Price (23 Jul 26): ¥69,410

Price Target (Dec-26): ¥83,000

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Investment Thesis, Valuation and Risks

Disco (6146) (*Neutral; Price Target: ¥83,000*)

Investment Thesis

Demand for generative AI applications, which is expected to grow in the medium to long term, is increasing. Disco has a high market share in grinders and dicers for generative AI applications, and we expect its earnings to continue to grow at a high rate in the future. We are keeping an eye on its capacity expansion plans, which could be a bottleneck, and sales trends for highly profitable consumables.

Valuation

Our December 2026 price target of ¥83,000 is based on our FY2027 EPS estimate and a P/E of around 41x, which is one standard deviation above the 10-year historical average of around 28x. We add a premium in view of the improved growth outlook for the back-end process equipment market.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- Further expansion of generative AI-related demand
- Faster growth in the SPE market for power semiconductors
- Earlier-than-expected resumption of investment at OSATs and other customers
- Recovery in demand for smartphones and other final products

Downside Scenario to Target Price/Rating

- Deceleration in generative-AI-related demand
- Margin dilution from mix shift toward mass-production demand
- Entry into a downcycle in semiconductor markets
- Decline in strategic investments at customers due to steep economic recession
- Delayed recovery in demand for final products
- Loss of market share

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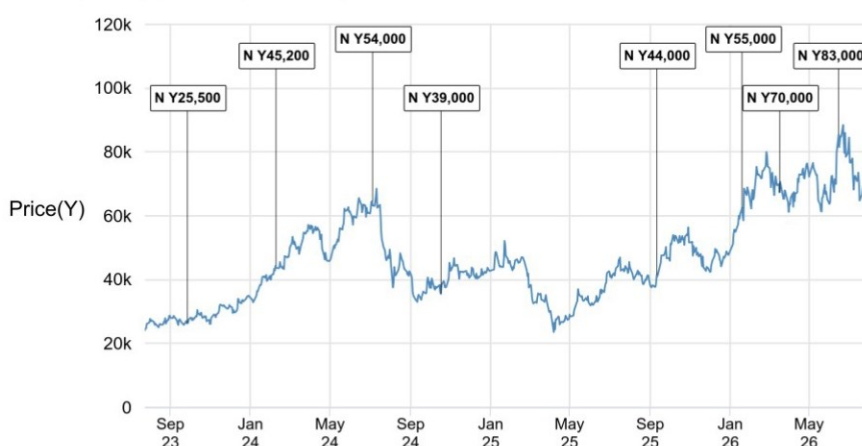
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Disco (6146) (6146.T, 6146 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
27-Sep-23	N	26415	25,500
09-Feb-24	N	44250	45,200
05-Jul-24	N	64580	54,000
18-Oct-24	N	35580	39,000
12-Sep-25	N	41520	44,000
20-Jan-26	N	62420	55,000
18-Mar-26	N	67350	70,000
16-Jun-26	N	85250	83,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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